CANADA BREAD COMPANY, LIMITED



INTERIM REPORT TO SHAREHOLDERS

For the Third Quarter Ended
September 30, 2002

REPORT TO SHAREHOLDERS:

Management's Discussion and Analysis

"Canada Bread posted its twelfth consecutive quarter of year-over-year growth in revenue and profitability," said Richard Lan, President and Chief Executive Officer. "The momentum of this growth, combined with the potential to make Canada Bread a global bakery company through the acquisition of Maple Leaf Bakery, makes this a very exciting period for our company."

In accordance with changes in generally accepted accounting principles, the Company no longer amortizes goodwill, resulting in a positive impact on 2002 earnings. The effect of this is explained more fully in note 1 to these financial statements. All comparative percentage increases noted here are after taking account of this change.

Sales for the quarter were $272.6 million, a 76% increase compared to last year. The increase in sales was principally due to the consolidation of results from acquisitions completed subsequent to the third quarter of last year, as well as strong underlying growth in both the fresh and frozen bread operations. Excluding the contribution from acquisitions, sales increased by approximately 7% quarter-over-quarter. Sales for the first nine months increased 73% to $759.4 million (approximately 8% excluding acquisitions) compared to $439.9 million for the prior year period.

Earnings from operations for the third quarter increased by 93% to $19.2 million compared to $9.2 million last year ($10.0 million before goodwill amortization), while year-to-date earnings from operations increased 95% to $46.8 million compared to $21.9 million last year ($24.1 million before goodwill amortization). In addition to the contribution from acquisitions, earnings increased across all business lines, both domestic and export. A continued focus on cost reduction and improved operating efficiencies, supported by recently launched Six Sigma initiatives, also contributed to increased earnings for the period.

Net earnings for the third quarter increased by 68% to $11.9 million ($0.55 per share), compared to $6.4 million ($0.30 per share) last year ($7.1 million last year or $0.33 per share before goodwill amortization). Earnings for the first nine months were $28.3 million or $1.32 per share compared to $15.7 million or $0.73 per share for the prior year period.

The increase in net earnings reflects the strong improvement in operating earnings. Other income for the third quarter was reduced by $1.2 million for the prior year period, as Canada Bread no longer equity accounts for Multi-Marques Inc. after the acquisition date. Interest expense for the quarter increased due to higher debt levels arising from the acquisition of Multi-Marques Inc. last year.

Cash flow from operating activities for the third quarter increased sharply to $49.2 million compared to $21.0 million for the same period last year, due to increased earnings and lower investments in working capital.

In the fourth quarter of 2001, Canada Bread acquired the remaining 75% interest in Multi-Marques Inc., to hold 100%. As of September 30, 2002, the Company had committed to a restructuring plan for the business and has completed the purchase cost accounting for this acquisition. Included in accounts payable and accrued charges at September 30, 2002 are accruals of $5.0 million related to restructuring and rationalization costs.

On July 18, 2002 the Company acquired Olafson's Baking Company Inc. of Delta, British Columbia. The initial purchase price was $11.0 million. Additional consideration, up to a maximum of $11.0 million may be payable, depending on the attainment of certain financial targets, up until February 28, 2004.

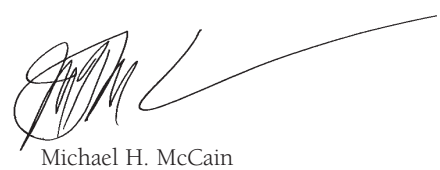
On October 9, 2002, Canada Bread and Maple Leaf Foods announced an agreement in principle whereby Canada Bread would purchase all of Maple Leaf Foods' other bakery operations for $266 million, inclusive of debt assumption. Completion of the transaction is subject to finalization of documentation and approval by a majority of Canada Bread's shareholders, excluding Maple Leaf Foods. Canada Bread expects to mail an information circular to its shareholders in early November and to hold a meeting of its shareholders in early December. If approved at that meeting, the transaction would be scheduled to close in December 2002. The transaction is expected to be accretive to Canada Bread's earnings per share.

The Company declared a dividend of $0.06 per share payable on January 2, 2003 to shareholders of record on December 13, 2002.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

CANADA BREAD COMPANY, LIMITED

CONSOLIDATED STATEMENTS OF EARNINGS

In thousands of Canadian dollars, except per share amounts (Unaudited)	Quarter ended September 30, 2002	Quarter ended September 30, 2001	Nine months ended September 30, 2002	Nine months ended September 30, 2001
Sales	**$272,558**	$154,965	**$759,395**	$439,902
Earnings from operations	**19,171**	9,214	**46,827**	21,865
Other income	**1**	1,197	**28**	1,467
Earnings before interest and income taxes	**19,172**	10,411	**46,855**	23,332
Interest expense	**604**	2	**2,660**	438
Earnings before income taxes	**18,568**	10,409	**44,195**	22,894
Income taxes	**6,638**	4,048	**15,799**	9,411
Earnings before minority interest	**11,930**	6,361	**28,396**	13,483
Minority interest	**—**	—	**57**	—
Net earnings for the period	**$ 11,930**	$ 6,361	**$ 28,339**	$ 13,483
Earnings per share (basic and diluted)	**$ 0.55**	$ 0.30	**$ 1.32**	$ 0.63
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.18**	$ 0.18
Weighted average number of shares (millions)	**21.4**	21.4	**21.4**	21.4

CONSOLIDATED STATEMENTS OF CASH FLOWS

In thousands of Canadian dollars (Unaudited)	Quarter ended September 30, 2002	Quarter ended September 30, 2001	Nine months ended September 30, 2002	Nine months ended September 30, 2001
Cash Provided By (used in):				
Operating activities				
Net earnings for the period	**$ 11,930**	$ 6,361	**$ 28,339**	$ 13,483
Items not affecting cash:				
Depreciation	**6,497**	4,443	**21,307**	13,487
Amortization	**—**	736	**—**	2,208
Minority interest	**—**	—	**57**	—
Future income taxes	**(1,520)**	212	**(2,981)**	529
Undistributed earnings of an associated company	**—**	(1,192)	**—**	8,961
Gain on sale of property and equipment	**61**	—	**34**	—
Changes in non-cash operating working capital	**32,235**	10,470	**22,840**	1,362
	49,203	21,030	**69,596**	40,030
Financing activities				
Dividends paid	**(1,285)**	(1,285)	**(3,855)**	(3,855)
Decrease in long-term debt, net	**(25,094)**	(22)	**(1,405)**	(66)
	(26,379)	(1,307)	**(5,260)**	(3,921)
Investing activities				
Additions to property and equipment	**(6,209)**	(2,129)	**(14,317)**	(6,877)
Proceeds from sale of property and equipment	**—**	—	**817**	—
Purchase of net assets of businesses (note 2)	**(25,426)**	—	**(41,371)**	—
	(31,635)	(2,129)	**(54,871)**	(6,877)
Increase (decrease) in cash and cash equivalents for the period	**(8,811)**	17,594	**9,465**	29,232
Cash and cash equivalents (bank indebtedness), beginning of period	**17,611**	8,358	**(665)**	(3,280)
Cash and cash equivalents, end of period	**$ 8,800**	$ 25,952	**$ 8,800**	$ 25,952

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CANADA BREAD COMPANY, LIMITED

CONSOLIDATED BALANCE SHEETS

In thousands of Canadian dollars	As at September 30, 2002 (Unaudited)	As at September 30, 2001 (Unaudited)	As at December 31, 2001 (Audited)
Assets			
Current assets:			
Cash	**$ 8,800**	$ 25,952	**$ —**
Accounts receivable (note 3)	**27,428**	25,941	**25,211**
Due from related company	**8,986**	7,295	**6,461**
Inventories	**24,143**	14,710	**21,133**
Future tax asset	**3,479**	2,254	**3,094**
Prepaid expenses	**2,330**	1,662	**2,739**
	75,166	77,814	**58,638**
Investment in associated company	**—**	38,010	**—**
Property and equipment	**238,535**	150,066	**251,170**
Other long-term assets	**4,641**	—	**6,307**
Goodwill and other intangibles	**170,806**	72,017	**126,980**
	$489,148	$337,907	**$443,095**
Liabilities and Shareholders' Equity			
Current liabilities:			
Bank indebtedness	**$ —**	$ —	**$ 665**
Accounts payable and accrued charges	**123,369**	51,840	**95,061**
Dividends payable	**1,285**	1,285	**1,285**
Income and other taxes payable	**10,194**	5,235	**7,287**
Current portion of long-term debt	**8,437**	94	**8,838**
	143,285	58,454	**113,136**
Long-term debt	**36,263**	117	**36,275**
Future tax liability	**33,962**	34,267	**38,182**
Minority interest	**—**	—	**4,348**
Shareholders' equity	**275,638**	245,069	**251,154**
	$489,148	$337,907	**$443,095**

CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

In thousands of Canadian dollars except per share amounts (Unaudited)	Nine months ended September 30, 2002	Nine months ended September 30, 2001
Retained earnings, beginning of period	**$214,189**	$198,476
Net earnings for the period	**28,339**	13,483
Dividends declared ($0.18 per share; 2001 — $0.18 per share)	**(3,855)**	(3,855)
Retained earnings, end of period	**$238,673**	$208,104

The accompanying notes to the consolidated financial statements are an integral part of this statement.

CANADA BREAD COMPANY, LIMITED
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(For the quarters ended September 30, 2002 and September 30, 2001)
(Tabular amounts in thousands of Canadian dollars except per share amounts)

1. Significant Accounting Policies

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2001. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2001 except for the following:

(a) Business Combinations, Goodwill and Other Intangible Assets

In September 2001, the Canadian Institute of Chartered Accountants ("CICA") issued Handbook Sections 1581 "Business Combinations" and 3062 "Goodwill and Other Intangible Assets". The new standards require the purchase method of accounting for business combinations and require that goodwill no longer be amortized but instead be tested for impairment at least annually. The Company has adopted these new standards as of January 1, 2002 and has discontinued amortization of all existing goodwill. Effective July 1, 2001, goodwill arising on business combinations completed after June 30, 2001 was not amortized.

In accordance with the transitional provisions of CICA Handbook Section 3062, Goodwill and Other Intangible Assets, the Company has completed the transitional goodwill impairment test for all reporting units. The results of this test have indicated there is no impairment to the book value of goodwill.

Effective January 1, 2002, the Company had unamortized goodwill of $127.0 million which is no longer being amortized. This change in accounting policy is not applied retroactively and the amounts presented for prior periods have not been restated for this change. To enable consistent comparison to prior periods, the following selected pro-forma financial information is provided for 2001, assuming no goodwill amortization for 2001:

	Quarter ended September 30,		Nine months ended September 30,	
	2002	2001	2002	2001
Earnings from operations as reported	**$ 19,171**	$ 9,214	**$ 46,827**	$ 21,865
Add back goodwill amortization		736		2,208
Pro-forma earnings from operations	**$ 19,171**	$ 9,950	**$ 46,827**	$ 24,073
Pro-forma net earnings for the period	**$ 11,930**	$ 7,097	**$ 28,339**	$ 15,691
Earnings per share as reported (basic and diluted)	**$0.55**	$0.30	**$1.32**	$0.63
Pro-forma earnings per share (basic and diluted)	**$0.55**	$0.33	**$1.32**	$0.73

(b) Stock-based compensation and other stock-based payments

Effective January 1, 2002, the Company adopted the new CICA Handbook Section 3870, which requires that a fair value based method of accounting be applied to certain types of stock options. The new standard requires that for stock option awards, the effect on reported net earnings be disclosed on a pro-forma basis in the notes to the financial statements as if the Company had accounted for these stock option awards under the fair value method. The Company does not have any stock options outstanding as of September 30, 2002, nor did it issue any stock options during the first 9 months of 2002. However, Canada Bread is owned 68% by Maple Leaf Foods Inc. ("Maple Leaf") and during the quarter Maple Leaf issued stock options to certain employees and officers of the Company. No costs are charged to the Company for participation in Maple Leaf's stock option plan, however, Section 3870, requires the Company to disclose the pro forma impact of the options granted by Maple Leaf to Canada Bread employees as if they were options granted by Canada Bread.

During the third quarter of 2002, Maple Leaf granted 1,000 stock options to employees and officers of Canada Bread (449,500 year to date) that call for settlement by the issuance of Maple Leaf common shares at a weighted-average exercise price per share of $13.74. The fair value of the options issued in the quarter was determined using the Black-Scholes option pricing model with the following assumptions: a weighted-average risk free interest rate of 4.9%, a weighted-average expected dividend yield of 1.2%, a weighted-average volatility factor of the market price of the Maple Leaf's shares of 38.4%, and a weighted-average expected option life of 4.2 years. The estimated fair value of the options issued during the quarter was less than $100,000. For the purpose of this pro-forma disclosure, the estimated fair value of the options issued is amortized to income over the vesting period of the related options. For the three months ended September 30, 2002, the effect of these stock option awards, had they been charged to earnings during the third quarter of 2002, would have been minimal with no impact to diluted earnings per common share.

(c) Comparative figures

Certain comparative figures have been reclassified to conform with the financial statement presentation adopted in the current year.

2. Acquisitions

In the fourth quarter of 2001, the Company acquired the remaining 75% interest in Multi-Marques Inc., to hold 100%. As at September 30, 2002, the Company had committed to a restructuring plan for its acquisition of Multi-Marques Inc. and has completed the purchase accounting for this acquisition. Included in the acquisition provisions are accruals of $7.3 million related to the costs associated with the restructuring and related rationalization costs of which $5.0 million is still recorded in accounts payable and accrued charges as at September 30, 2002. Employees who may be affected will be provided with outplacement counseling and assistance. In addition they will receive indemnity payments at least in accordance with the Labour Standards Act of Quebec. In this regard, hourly employees whose employment would be permanently terminated would be eligible for indemnity in accordance with the greater of the requirements of the Labour Standards Act or one week per year of service (to a maximum of 26 weeks), and salary employees would be provided for under the provisions of the published salary policy of Multi-Marques Inc.

On April 11, 2002, the Company acquired the remaining 40% interest in Ben's Limited ("Ben's"), a bakery business in Atlantic Canada, to hold 100%, for $12.9 million. On July 18, 2002 the Company acquired Olafson's Baking Company Inc. ("Olafson's") of Delta, British Columbia for $18.6 million which includes contingent consideration of $7.6 million which will only become payable if certain financial targets are attained by February 28, 2004. Additionally, a further $3.4 million of contingent consideration, may be payable. The Company has not yet completed the determination of fair values of the individual assets and liabilities acquired or its restructuring and integration plans for these two operations acquired. Accordingly, the allocation of the purchase cost to the assets and liabilities acquired is preliminary and will change further as restructuring plans are finalized. No restructuring costs related to the Ben's or the Olafson's acquisitions, other than those incurred to date, have been accrued in the preliminary purchase accounting included in these financial statements, or accrued with respect to any restructuring of existing Canada Bread operations that may result from integration plans, when finalized.

3. Accounts Receivable

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At September 30, 2002, trade accounts receivable amounting to $50.0 million (September 30, 2001 – $20.0 million) had been sold under these programs.

4. Subsequent Events

In October 2002, the Company announced an agreement in principle whereby it will purchase all of Maple Leaf Food's other bakery operations for $266 million, inclusive of debt assumption. The purchase price will be satisfied by payment of $60 million in cash on closing, which will be drawn on Canada Bread's existing credit facility, and the balance by way of a note payable to Maple Leaf Foods. Completion of the transaction is subject to finalization of documentation and approval by a majority of Canada Bread shareholders, excluding Maple Leaf Foods.